something to the growth of the country. That's what stocks are for. In previous generations, when it was considered dangerous to speculate in stocks of small companies, at least the "speculators" were providing the capital to enable the IBMs and the McDonald'ses and the Wal-Marts to get started. In the multibillion-dollar futures and options market, not a bit of the money is put to any constructive use. It doesn't finance anything, except the cars, planes, and houses purchased by the brokers and the handful of winners. What we're witnessing here is a giant transfer payment from the unwary to the wary.

There's a lot of talk these days about the use of futures and options as portfolio insurance to protect our investments in stocks. Many of my fellow professionals have led the way down this slippery slope, as usual. Institutions have bought billions in portfolio insurance, to cover themselves in case of a crash. It turns out that they thought they were well-covered during the last crash, but the portfolio insurance worked against them. Part of the insurance program required them to automatically sell off stocks at the same time they were buying more futures, and the massive automatic selling drove the market lower, triggering more buying of futures and more selling. Among the plausible causes of the October collapse, portfolio insurance is a principal culprit, but many institutions are still buying the insurance.

Some individual investors have taken up this bad idea on their own. (Does it ever pay to imitate the experts?) They buy "put" options (which increase in value as the market goes down) to protect themselves in a decline. But "put" options, too, expire worthless, and you have to keep buying them if you want to be continually protected. You can waste 5–10 percent of your entire investment stake every year to protect yourself from a 5–10 percent decline.

Like the alcoholic enticed back into the gin bottle by the innocent tasting of beer, the stockpicker who invests in options as insurance often cannot help himself, and soon enough he's buying options for their own sake, and from there it's on to hedges, combinations, and straddles. He forgets that stocks ever interested him in the first place. Instead of researching companies, he spends all his waking hours reading market-timer digests and worrying about head-and-shoulder patterns or zigzag reversals. Worse, he loses all his money.

Warren Buffett thinks that stock futures and options ought to be outlawed, and I agree with him.

SHORTING A STOCK

You've no doubt heard of this ancient and strange practice, which enables you to profit from a stock that's going down. (Some people get interested in this idea by looking at their portfolios and realizing that if they'd been short instead of